

FATF Guidance — Correspondent Banking (synthetic excerpt)

Section 1. Purpose. This guidance clarifies expectations for correspondent banking relationships under the FATF Recommendations, particularly Recommendations 10, 13 and 16.

Section 2. Obligations. Correspondent institutions must understand the respondent bank's AML/CFT controls, customer base, and nested correspondent activity. Payable-through accounts and nested relationships require enhanced due diligence.

Section 3. Threshold indicators. Wire transfers routed through nested correspondent chains without transparent originator/beneficiary information should be escalated. Institutions should monitor for shell-bank indicators and refuse relationships with shell banks.

Section 4. Transaction monitoring. Unusual patterns in correspondent flows — sudden volume spikes, high-risk jurisdiction corridors, or repeated just-below-threshold payments — may indicate misuse of correspondent banking channels.

Section 5. Reporting. Where suspicion arises regarding correspondent activity, institutions must file a suspicious activity report according to national law and retain decision rationale in the audit trail.